

FREIGHT PUSH

THE INDIAN RAILWAYS HAS COME OUT WITH A UNIFIED FREIGHT RATE FOR BULK CEMENT WITH PLANS TO EXTEND IT TO OTHER COMMODITIES. WILL THIS INCREASE FREIGHT'S SHARE IN EARNINGS?

BY **RICHA SHARMA**

THE INDIAN RAILWAYS is seeking to increase its share of freight moved in the country and earn more revenue after losing ground to a widening road network.

The state-owned transporter is focusing on its fare structure—dropping the cost of carrying freight and doing away with distance-based fare slabs—to win back customers who have deserted it for roads.

Last November, the Railways introduced a revised rate policy for the movement of bulk cement, ending a system of setting the freight rate based on distance travelled and weight carried. The rate averaged higher under the old system.

The new rate for bulk cement was set at ₹0.90 per tonne per km.

It was cut later to ₹0.85 per tonne per km after concerns were raised by the cement industry that this would not be enough for them to switch to the Railways from roads.

Yet, even a ₹0.05 per tonne per km cut is significant for long-haul customers, adding to their savings.

A plan to introduce a unified freight rate for other commodities moved by Railways is now under discussion in the Railway Board. Railway Minister Ashwini Vaishnaw has asked top officials to look at other commodities on which a fixed rate can be introduced.

FREIGHT TRAFFIC

Experts caution that ending telescopic slab freight rates—a pricing structure where the rate per unit of distance decreases as the total distance rises—could harm long-haul

**CHUGGING
ALONG**

28%

of freight moves by rail in India

2.5%

year-on-year freight traffic growth in CY25

1.47%

YoY growth in freight earnings in FY25

Cement, foodgrains loading was flat CY25

Policy change with unified fare expected to attract the lucrative cement traffic